Industry

922 Entertainment—Cable Television

922 Entertainment—Cable Television

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
922-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
922-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-10-05-1 The Entertainment—Cable Television Topic addresses the standards of financial accounting and reporting for costs and expenses applicable to the construction and operation of a cable television system.

922-10-05-2 This Topic includes the following Subtopics:

a. Overall

b. Intangibles—Goodwill and Other
c. Property, Plant, and Equipment
d. Subparagraph superseded by Accounting Standards Update No. 2014-09.
e. Subparagraph superseded by Accounting Standards Update No. 2014-09.
f. Other Expenses
g. Interest.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

922-10-15-1 The Subtopics within the Entertainment—Cable Television Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section or as further defined in the Scope Sections of the individual Entertainment—Cable Television Subtopics. Entities within the scope of this Topic shall also comply with the applicable standards not included in this Topic.

> Entities

922-10-15-2 The guidance in this Topic applies to all entities in the cable television industry.

922 Entertainment—Cable Television

350 Intangibles—Goodwill and Other

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-350-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
922-350-30-1	Amended	Accounting Standards Update No. 2009-02	07/01/2009

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-350-05-1 This Subtopic provides guidance for various intangible costs incurred by entities in the cable television industry, such as programming costs and franchise application costs.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

922-350-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 922-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Cable Television Plant

The cable television plant required to render service to the subscriber includes the following equipment:

a. Head-end. This includes the equipment used to receive signals of distant television or radio stations, whether directly from the transmitter or from a microwave relay system. It also includes the studio facilities required for operator-originated programming, if any.

b. Cable. This consists of cable and amplifiers (which maintain the quality of the signal) covering the subscriber area, either on utility poles or underground.

c. Drops. These consist of the hardware that provides access to the main cable, the short length of cable that brings the signal from the main cable to the subscriber's television set, and other associated hardware, which may include a trap to block particular channels.

d. Converters and descramblers. These devices are attached to the subscriber's television sets when more than 12 channels are provided or when special services are provided, such as pay cable or 2-way communication.

Prematurity Period

During the prematurity period, the cable television system is partially under construction and partially in service. The prematurity period begins when revenue from the first subscriber is recognized in accordance with Topic 606 on revenue from contracts with customers. Its end will vary with circumstances of the system but will be determined based on plans for completion of the first major construction period or achievement of a specified predetermined subscriber level at which no additional investment will be required for other than cable television plant. The construction period of a cable television system varies with the size of the franchise area, density of population, and difficulty of physical construction. The construction period is not completed until the head-end, main cable, and distribution cables are installed, and includes a reasonable time to provide for installation of subscriber drops and related hardware. During the construction period, many system operators complete installation of drops and begin to provide service to some subscribers in some parts of the system while construction continues. Providing the signal for the first time is referred to as energizing the system.

The length of the prematurity period varies with the franchise development and construction plans. Such plans may consist of any of the following:

a. Small franchise that is characterized by the absence of free television signal and a short construction period. The entire system is energized at one time near the end of the construction period.

b. Medium-size franchise that is characterized by some direct competition from free television and by a more extensive geographical franchise area lending itself to incremental construction. Some parts of the system are energized as construction progresses.

c. Large metropolitan franchise that is characterized by heavy direct competition from free television and fringe area signal inadequacy, high cost, and difficult construction. Many parts of the system are energized as construction progresses.

Except in the smallest systems, programming is usually delivered to portions of the system and some revenues are obtained before construction of the entire system is complete. Thus, virtually every cable television system experiences a prematurity period during which it is receiving some revenue while continuing to incur substantial costs related to the establishment of the total system.

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Prematurity Period—Programming and Other System Costs

922-350-25-1 During the prematurity period, programming costs and other system costs that are incurred in anticipation of servicing a fully operating system and that will not vary significantly regardless of the number of subscribers shall be allocated between current and future operations. The proportion attributable to current operations shall be expensed currently and the remainder shall be capitalized. The amount to be expensed currently shall be determined by multiplying the total of such costs for the month by the fraction determined for that month as described in paragraph 922-360-35-3. Those costs include property taxes based on valuation as a fully operating system; pole, underground duct, antenna site, and microwave rental based on rental costs for a fully operating system; and local origination programming to satisfy franchise requirements.

922-350-25-2 Refer to paragraph 922-835-25-1 concerning the capitalization of interest costs during the prematurity period.

> Franchise Application Costs

922-350-25-3 Costs of successful franchise applications shall be capitalized.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

922-350-30-1 Paragraph not used.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Amortization During the Prematurity Period

922-350-35-1 During the prematurity period, amortization expense shall be determined by multiplying the monthly amortization of total capitalized costs expected on completion of the prematurity period by the same fraction described in paragraph 922-360-35-3, using the amortization method that will be applied by the entity after the prematurity period.

> Amortization of Capitalized Costs

922-350-35-2 Costs that have been capitalized in accordance with paragraph 922-350-25-1 shall be amortized over the same period used to depreciate the main cable television plant.

> Recoverability

922-350-35-3 Certain intangible assets are subject to the provisions of Topic 360. Other intangible assets are subject to the provisions of Topic 350. Capitalization of costs shall not cease when the total cost reaches an amount that is not fully recoverable. Capitalization of costs shall continue, and the provision required to reduce capitalized costs to recoverable value shall be increased.

> Franchise Application Costs

922-350-35-4 Costs of successful franchise applications capitalized under paragraph 922-350-25-3 shall be amortized in accordance with the provisions of Topic 350.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Unsuccessful Franchise Applications and Abandoned Franchises

922-350-40-1 As indicated in paragraph 922-720-25-4, costs of unsuccessful franchise applications and abandoned franchises shall be charged to expense.

922 Entertainment—Cable Television

360 Property, Plant, and Equipment

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-360-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
922-360-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-360-05-1 This Subtopic provides guidance for certain costs incurred by entities in the cable television industry during the periods of cable construction and service.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

922-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 922-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Prematurity Period

During the prematurity period, the cable television system is partially under construction and partially in service. The prematurity period begins when revenue from the first subscriber is recognized in accordance with Topic 606 on revenue from contracts with customers. Its end will vary with circumstances of the system but will be determined based on plans for completion of the first major construction period or achievement of a specified predetermined subscriber level at which no additional investment will be required for other than cable television plant. The construction period of a cable television system varies with the size of the franchise area, density of population, and difficulty of physical construction. The construction period is not completed until the head-end, main cable, and distribution cables are installed, and includes a reasonable time to provide for installation of subscriber drops and related hardware. During the construction period, many system operators complete installation of drops and begin to provide service to some subscribers in some parts of the system while construction continues. Providing the signal for the first time is referred to as energizing the system.
The length of the prematurity period varies with the franchise development and construction plans. Such plans may consist of any of the following:

a. Small franchise that is characterized by the absence of free television signal and a short construction period. The entire system is energized at one time near the end of the construction period.

b. Medium-size franchise that is characterized by some direct competition from free television and by a more extensive geographical franchise area lending itself to incremental construction. Some parts of the system are energized as construction progresses.

c. Large metropolitan franchise that is characterized by heavy direct competition from free television and fringe area signal inadequacy, high cost, and difficult construction. Many parts of the system are energized as construction progresses.

Except in the smallest systems, programming is usually delivered to portions of the system and some revenues are obtained before construction of the entire system is complete. Thus, virtually every cable television system experiences a prematurity period during which it is receiving some revenue while continuing to incur substantial costs related to the establishment of the total system.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Prematurity Period—Certain Capitalizable Costs

922-360-25-1 Before revenue is recognized from the first subscriber, management shall establish the beginning and end of the prematurity period, subject to a presumption that the prematurity period usually will not exceed two years. The prematurity period frequently will be shorter than two years; a longer period may be reasonably justified only in major urban markets. After the prematurity period is established by management, it shall not be changed except as a result of highly unusual circumstances. A portion of a cable television system that is in the prematurity period and can be clearly distinguished from the remainder of the system shall be accounted for separately.

922-360-25-2 (Some cable television entities have used the word segment to refer to a portion of a cable television system. In view of the use of segment in a different context in Topic 280, the word portion is used throughout the Entertainment—Cable Television Topic.)

922-360-25-3 Such a portion would have most of the following characteristics:

a. Geographical differences, such as coverage of a noncontiguous or separately awarded franchise area

b. Mechanical differences, such as a separate head-end

c. Timing differences, such as starting construction or marketing at a significantly later date

d. Investment decision differences, such as separate break-even and return-on-investment analyses or separate approval of start of construction

e. Separate accounting records, separate budgets and forecasts, or other accountability differences.

922-360-25-4 Costs incurred by the remainder of the system shall be charged to the portion in the prematurity period only if they are specifically identified with the operations of that portion.

922-360-25-5 During the prematurity period, costs of cable television plant, including materials, direct labor, and construction overhead shall continue to be capitalized in full.

922-360-25-6 See paragraph 922-835-25-1 concerning the capitalization of interest costs during the prematurity period.

> Subscriber Installation Costs

922-360-25-7 Initial subscriber installation costs, including material, labor, and overhead costs of the drop, shall be capitalized.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Prematurity Period

922-360-35-1 For capitalizable costs identified for the portion of a cable television system that is in the prematurity period, separate projections for the portion shall be developed and the portion's capitalized costs shall be evaluated separately during the prematurity period for recoverability (see paragraph 922-360-35-4).

> Depreciation Expense

922-360-35-2 During the prematurity period, depreciation expense shall be determined by multiplying the monthly depreciation of total capitalized costs expected on completion of the prematurity period by the fraction described in the following paragraph, using the depreciation method that will be applied by the entity after the prematurity period.

922-360-35-3 The following fraction shall be determined each month of the prematurity period. The denominator of the fraction shall be the total number of subscribers expected at the end of the prematurity period. The numerator of the fraction shall be the greatest of the following:

a. The average number of subscribers expected that month as estimated at the beginning of the prematurity period

b. The average number of subscribers that would be attained using at least equal (that is, straight-line) monthly progress in adding new subscribers towards the estimate of subscribers at the end of the prematurity period

c. The average number of actual subscribers.

This fraction also is to be used to allocate programming costs and other system costs between current and future operations, as discussed in paragraph 922-350-25-1.

> Recoverability

922-360-35-4 Capitalized plant is subject to the provisions of Topic 360. Capitalization of costs shall not cease when the total cost reaches an amount that is not fully recoverable. Capitalization of costs shall continue, and the provision required to reduce capitalized costs to recoverable value shall be increased.

> Subscriber Installation Costs

922-360-35-5 Initial subscriber installation costs capitalized under paragraph 922-360-25-7 shall be depreciated over a period no longer than the depreciation period used for cable television plant.

922 Entertainment—Cable Television

430 Deferred Revenue

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-430-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Direct Selling Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-430-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-430-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-430-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-430-30-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-430-35-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-430-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

922-430-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

922-430-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

922-430-30-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

922-430-35-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

922 Entertainment—Cable Television

605 Revenue Recognition

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Direct Selling Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Prematurity Period	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Subscriber-Related Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
922-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

922-605-25-1 through 25-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-605-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments:Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

922-605-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

922-605-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

922-605-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

922-605-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

922-605-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

922 Entertainment—Cable Television
720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

922-720-00-1 No updates have been made to this subtopic.

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-720-05-1 This Subtopic provides guidance for certain costs incurred by entities in the cable television industry, such as subscriber-related costs, hookup costs, and unsuccessful franchise applications costs.

15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

922-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 922-10-15.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Prematurity Period

During the prematurity period, the cable television system is partially under construction and partially in service. The prematurity period begins when revenue from the first subscriber is recognized in accordance with Topic 606 on revenue from contracts with customers. Its end will vary with circumstances of the system but will be determined based on plans for completion of the first major construction period or achievement of a specified predetermined subscriber level at which no additional investment will be required for other than cable television plant. The construction period of a cable television system varies with the size of the franchise area, density of population, and difficulty of physical construction. The construction period is not completed until the head-end, main cable, and distribution cables are installed, and includes a reasonable time to provide for installation of subscriber drops and related hardware. During the construction period, many system operators complete installation of drops and begin to provide service to some subscribers in some parts of the system while construction continues. Providing the signal for the first time is referred to as energizing the system.

The length of the prematurity period varies with the franchise development and construction plans. Such plans may consist of any of the following:

a. Small franchise that is characterized by the absence of free television signal and a short construction period. The entire system is energized at one time near the end of the construction period.

b. Medium-size franchise that is characterized by some direct competition from free television and by a more extensive geographical franchise area lending itself to incremental construction. Some parts of the system are energized as construction progresses.

c. Large metropolitan franchise that is characterized by heavy direct competition from free television and fringe area signal inadequacy, high cost, and difficult construction. Many parts of the system are energized as construction progresses.

Except in the smallest systems, programming is usually delivered to portions of the system and some revenues are obtained before construction of the entire system is complete. Thus, virtually every cable television system experiences a prematurity period during which it is receiving some revenue while continuing to incur substantial costs related to the establishment of the total system.

Subscriber-Related Costs

Costs incurred to obtain and retain subscribers to the cable television system, including costs of billing and collection, bad debts, and mailings; repairs and maintenance of taps and connections; franchise fees related to revenues or number of subscribers; general and administrative system costs, such as salary of the system manager and office rent; programming costs for additional channels used in the marketing effort or costs related to revenues from, or number of subscribers to, per-channel or per-program service; and direct selling costs.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Prematurity Period

922-720-25-1 During the prematurity period, any subscriber-related costs and general and administrative expenses shall be expensed as period costs.

922-720-25-2 For guidance on accounting during the prematurity period for certain programming costs and other system costs, see paragraph 922-350-25-1.

> Hookup Costs

922-720-25-3 After the initial installation as described in paragraph 922-360-25-7, costs incurred for disconnecting and reconnecting shall be charged to expense.

> Unsuccessful Franchise Applications and Abandoned Franchises

922-720-25-4 Costs of unsuccessful franchise applications and abandoned franchises shall be charged to expense. Refer to paragraph 922-350-25-3 for guidance on the accounting for the costs of successful franchise applications.

922 Entertainment—Cable Television

835 Interest

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

922-835-05-1 This Subtopic provides guidance on the accounting for interest costs incurred by an entity in the cable television industry during the period of construction of the cable system.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

922-835-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 922-10-15.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Prematurity Period

During the prematurity period, the cable television system is partially under construction and partially in service. The prematurity period begins when revenue from the first subscriber is recognized in accordance with Topic 606 on revenue from contracts with customers. Its end will vary with circumstances of the system but will be determined based on plans for completion of the first major construction period or achievement of a specified predetermined subscriber level at which no additional investment will be required for other than cable television plant. The construction period of a cable television system varies with the size of the franchise area, density of population, and difficulty of physical construction. The construction period is not completed until the head-end, main cable, and distribution cables are installed, and includes a reasonable time to provide for installation of subscriber drops and related hardware. During the construction period, many system operators complete installation of drops and begin to provide service to some subscribers in some parts of the system while construction continues. Providing the signal for the first time is referred to as energizing the system.
The length of the prematurity period varies with the franchise development and construction plans. Such plans may consist of any of the following:

a. Small franchise that is characterized by the absence of free television signal and a short construction period. The entire system is energized at one time near the end of the construction period.

b. Medium-size franchise that is characterized by some direct competition from free television and by a more extensive geographical franchise area lending itself to incremental construction. Some parts of the system are energized as construction progresses.

c. Large metropolitan franchise that is characterized by heavy direct competition from free television and fringe area signal inadequacy, high cost, and difficult construction. Many parts of the system are energized as construction progresses.

Except in the smallest systems, programming is usually delivered to portions of the system and some revenues are obtained before construction of the entire system is complete. Thus, virtually every cable television system experiences a prematurity period during which it is receiving some revenue while continuing to incur substantial costs related to the establishment of the total system.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Prematurity Period—Interest Cost Capitalization

922-835-25-1 The amount of interest cost that is capitalized during the prematurity period shall be determined in accordance with Topic 835 by applying an interest capitalization rate determined in accordance with paragraphs 835-20-30-3 through 30-4 to the average amount of qualifying assets for the system during the period. Qualifying assets shall be determined in accordance with the guidance in paragraphs 835-20-30-5 and 835-20-25-5. The amount of interest cost capitalized shall not exceed the total amount of interest cost incurred by the cable television system in that period. During the prematurity period, a portion of the system is in use in the earnings activity of the entity and is not eligible for interest capitalization. The portion of the cost of the system that represents a qualifying asset is the amount of accumulated expenditures in excess of the fraction specified in paragraph 922-360-35-3 of the total estimated cost of the system at the end of the prematurity period.

922-835-25-2 Paragraph 835-20-25-5 states that for assets completed in parts, and where each part is capable of being used independently while work is continuing on other parts, interest capitalization shall stop on each part when it is substantially complete and ready for use. Therefore, that guidance prohibits capitalization of interest cost on the portion of the cable television system that is substantially complete and ready for its intended use. Accordingly, this Topic clarifies that all interest cost incurred during the prematurity period is not necessarily eligible to be capitalized.